Qualifying Now and What Comes Later

A plain-language guide to the three questions inside “What can Mom keep?”

You asked what Mom can keep and got three different answers: one from someone at the facility, one from a neighbor whose father was in care, one from an article your brother found. It may be that each of them was answering a different question.

This guide separates the three questions inside “What can Mom keep?” and says, in general terms, what each one depends on. It explains. It doesn't say what the rule is in Mom's state or what will happen with anything she owns.

One question that is really three

“What can Mom keep?” sounds like one question. It is usually three. Can Mom qualify for Medicaid's help with the cost of her care now? What may she and Dad be able to keep? And what may come up later, after she has had that help?

The first is about eligibility. The federal long-term care site describes Medicaid as a joint federal and state program that helps people with low income and assets pay for some or all of their health care bills, and says it covers long-term care services in nursing homes and at home. [1]

The third is a different subject. Estate recovery, as KFF describes it, is the recovery of certain Medicaid costs after an enrollee dies. Justice in Aging, a national legal nonprofit, notes that it occurs only after the death of the person who received Medicaid. [2] [3]

So a family can have a clear answer to the first question and never have asked the third. That is common, and it may be why the answers you've collected don't seem to agree.

- When someone tells you something about the house or the savings, note which of the three questions they were answering.
- If you can't tell, write that down too.

Why nobody can hand you a list

Medicaid's rules are based on federal requirements, but states have considerable leeway in how they operate their programs. As a result, the federal long-term care site says, eligibility rules vary from state to state. [1]

You'll hear the words countable and exempt. A countable asset is one whose value is counted in determining financial eligibility for Medicaid, and exempt, or non-countable, is the word for one that isn't. Which of Mom's things fall on which side depends on her state and her situation, so this guide doesn't sort them, and a list you find online may not be about her state. [4]

For how to qualify in a particular state, the same site names the state's Medical Assistance office as the best source of information. Going through your list with you is part of what your Medicaid planner does. [1]

- What you can do is list what there is: the house, the accounts, retirement accounts, insurance, personal property.
- Beside each, write whose name is on it, copied from the paper where you can.

The house, and Dad at home

The house is usually the first thing families ask about, and the honest general answer is that it depends on the facts: who owns it, who lives in it, the family's circumstances and the state.

For a husband or wife still at home, federal law has provisions meant to prevent what it calls spousal impoverishment: leaving the spouse who is still living at home with little or no income or resources. Under those provisions, the federal Medicaid site says, a certain amount of the couple's combined resources is protected for the spouse living in the community, and a certain amount of the income of the spouse in care can be set aside for the other's use, depending on how much income of his or her own that spouse has. [5]

How much, and how any of it applies to Dad, is not something a general guide can say. It depends on the state and on your parents' own income and resources, and it is a question for your Medicaid planner or an elder law attorney.

- Write down whose names are on the deed, copied from the deed itself.
- Write down who lives in the house now.
- Write down what Dad has coming in each month and what he relies on, as best you know.

Estate recovery, the later question

If a person receives Medicaid coverage for long-term care services, the federal long-term care site explains, federal law requires states to recover the amount Medicaid spent on that person's behalf from the estate after death. The site's glossary adds that the amount recovered cannot be greater than the amount Medicaid contributed to the person's medical care. [6] [4]

Families often haven't heard of it. Justice in Aging notes that where a home was not counted toward eligibility, many people and their families are unaware that it may later be subject to recovery. The same report says Medicaid programs, including how they handle recovery, vary significantly from state to state. [3]

There is more to it than a general guide can cover. States are required, for one thing, to have procedures for waiving estate recovery when it would cause an undue hardship. What that means in Mom's state, and what estate recovery may or may not mean for her house, are questions for an elder law attorney. The federal long-term care site describes elder law attorneys as lawyers who deal daily with the issues surrounding old age. [7] [8]

- Add “estate recovery in our state” to your list of questions.
- Note whether anyone has mentioned it to you so far, and who.

What this means for your family

- “What can Mom keep?” becomes three questions, and you can tell which one you're asking.
- Your part is the page: what there is, whose name is on it, what you've been told and by whom.
- The answers come from people who know Mom's state and her situation: your Medicaid planner, an elder law attorney, a licensed financial professional.
- Nothing in this guide is a reason to move, retitle, spend or give away anything. Those are decisions to take to a professional as questions.

What this guide doesn't do

It doesn't say which of Mom's assets are counted, what she or Dad may keep, or what estate recovery may mean for the house. It doesn't recommend doing anything with any of it, and it isn't legal, financial or tax advice. The general statements come from the sources below. The advice about what to write down is ours.

Ready for the next step?

You can tell the three questions apart now, and say which one you're asking. The planning interview asks about your family's situation one question at a time and gives you a free planning report you can bring to any conversation about paying for care.

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WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Medicaid
2. KFF, What is Medicaid Estate Recovery?
3. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
4. Administration for Community Living (LongTermCare information), Glossary
5. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
6. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
7. Medicaid.gov (Centers for Medicare & Medicaid Services), Estate Recovery
8. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
